

SUBMISSION COVER SHEET

IMPORTANT: Check box if Confidential Treatment is requested ☐

Registered Entity Identifier Code (optional): 25-102

Organization: Chicago Mercantile Exchange Inc. ("CME")

Filing as a: ☐ DCM ☐ SEF ☒ DCO ☐ SDR

Please note - only ONE choice allowed.

Filing Date (mm/dd/yy): 02/19/25 Filing Description: Amendments to the Operational Risk Management Framework

SPECIFY FILING TYPE

Please note only ONE choice allowed per Submission.

Organization Rules and Rule Amendments

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|-------------------------------------|-------------------------------------|------------|
| ☒ | Certification | § 40.6(a) |
| ☐ | Approval | § 40.5(a) |
| ☐ | Notification | § 40.6(d) |
| ☐ | Advance Notice of SIDCO Rule Change | § 40.10(a) |
| ☐ | SIDCO Emergency Rule Change | § 40.10(h) |

Rule Numbers: See filing.

New Product

Please note only ONE product per Submission.

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| ☐ | Certification | § 40.2(a) |
| ☐ | Certification Security Futures | § 41.23(a) |
| ☐ | Certification Swap Class | § 40.2(d) |
| ☐ | Approval | § 40.3(a) |
| ☐ | Approval Security Futures | § 41.23(b) |
| ☐ | Novel Derivative Product Notification | § 40.12(a) |
| ☐ | Swap Submission | § 39.5 |

Product Terms and Conditions (product related Rules and Rule Amendments)

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| ☐ | Certification | § 40.6(a) |
| ☐ | Certification Made Available to Trade Determination | § 40.6(a) |
| ☐ | Certification Security Futures | § 41.24(a) |
| ☐ | Delisting (No Open Interest) | § 40.6(a) |
| ☐ | Approval | § 40.5(a) |
| ☐ | Approval Made Available to Trade Determination | § 40.5(a) |
| ☐ | Approval Security Futures | § 41.24(c) |
| ☐ | Approval Amendments to enumerated agricultural products | § 40.4(a), § 40.5(a) |
| ☐ | "Non-Material Agricultural Rule Change" | § 40.4(b)(5) |
| ☐ | Notification | § 40.6(d) |

Official Name(s) of Product(s) Affected:

Rule Numbers:

February 19, 2025

VIA ELECTRONIC PORTAL

Mr. Christopher J. Kirkpatrick
Office of the Secretariat
Commodity Futures Trading Commission
Three Lafayette Centre
1155 21st Street, N.W.
Washington, DC 20581

**Re: CFTC Regulation 40.6(a) Certification. Amendments to the Operational Risk Management Framework.
CME Submission No. 25-102**

Dear Mr. Kirkpatrick:

Pursuant to Commodity Futures Trading Commission (“CFTC” or “Commission”) Regulation 40.6(a), Chicago Mercantile Exchange Inc. (“CME” or the “Clearing House”), a derivatives clearing organization (“DCO”), certifies to the Commission amendments to the Operational Risk Management Framework (“ORMF”) effective on March 6, 2025 (collectively, the “Amendments”).

Consistent with CFTC Regulation 39.18(b), the ORMF is maintained by the Clearing House and establishes its practices to identify and minimize sources of operational risk, which could arise from its core clearing process. The ORMF is approved by CME’s Risk Committee (i.e., committee established by the Board of Directors (“Board”)) and the Board at least annually.

The ORMF was approved by the Risk Committee on December 3, 2024 and approved by the Board on February 5, 2025. The Amendments were approved as part of the annual review process. The Amendments to the ORMF primarily relate to the following areas:

- **Inclusion of Liquidity Risk Updates:** While liquidity risk was previously captured and accounted for within the core clearing process related to the ability to view and manage market and credit risk, the Amendments update this clearing process to explicitly reference the Clearing House’s operational risk management practices in relation to liquidity risk. In particular, the Amendments describe the operational risks related to managing liquidity risk and the related risk monitoring practices, as well as clarify that the Clearing House maintains qualifying liquid resources.
- **Fraud Risk Management:** While the management of fraud risk has consistently been a part of the Clearing House’s risk management practices, the Amendments incorporate a section dedicated to recognizing these practices (including other documentation that exists). The Amendments also explicitly recognize the processes for the protection of customer funds and detection and escalation of fraud risk within the core clearing process related to the ability to process and manage settlement and collateral.

The Clearing House also took the opportunity to correct grammatical errors, amend the language in the ORMF to provide clarity without changing the meaning, and remove duplicative references within the ORMF where appropriate. Additionally, minor changes were made to describe the Clearing House’s practices in a manner consistent with the Clearing House’s other frameworks and policies.

DCO Core Principle Review

CME reviewed the DCO core principles ("Core Principles") as set forth in the Commodity Exchange Act ("CEA" or "Act") and identified that the Amendments may impact the following core principles:

- **DCO Core Principle D – Risk Management**: The Amendments further describe the Clearing House's risk management practices with respect to assessing and managing operational risk and support the ability of the Clearing House to effectively manage the risks associated with discharging the responsibilities of the DCO.
- **DCO Core Principle B – Financial Resources**: The Amendments further describe the Clearing House's operational risk management practices with respect to liquidity risk and support the ability of the Clearing House to meet its financial obligations to its members and participants.
- **DCO Core Principle F – Treatment of Funds**: The Amendments further describe the Clearing House's risk management practices with respect to the treatment of customer funds and fraud risk and support the ability of the Clearing House to protect and ensure the safety of member and participant funds and assets.

CME has requested confidential treatment with respect to the ORMF, which has been submitted concurrently with this certification. Exhibit A provides the ORMF in blackline format under separate cover.

Pursuant to Section 5(c) of the Act and CFTC Regulation 40.6(a), CME certifies that the Amendments comply with the Act and regulations thereunder. There were no substantive opposing views to the proposal.

CME certifies that this submission has been concurrently posted on the CME Group website at <http://www.cmegroup.com/market-regulation/rule-fillings.html>.

Should you have any questions concerning the above, please contact the undersigned at (312) 930-8167 or sean.downey@cmegroup.com.

Sincerely,

/s/ Sean Downey
Managing Director – Clearing Chief Compliance
Officer, Enterprise Risk Officer & Policy
CME Clearing

Attachment: Exhibit A: Amendments to CME Clearing Operational Risk Management Framework
(blackline format) (confidential treatment requested)

Exhibit A
CONFIDENTIAL TREATMENT REQUESTED

(ATTACHED UNDER SEPARATE COVER)